

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

INTERNATIONAL LONGSHOREMEN’S ASSOCIATION,
Complainant

v.

GATEWAY TERMINALS, LLC; CHARLESTON STEVEDORING
CO., LLC; PORTS AMERICA FLORIDA, INC.; CERES MARINE
TERMINALS, INC.; AND SSA ATLANTIC, LLC, *Respondents*.

DOCKET NO. 22-12

Served: March 9, 2023

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

**ORDER ON MOTION TO BIFURCATE PROCEEDING, SCHEDULING ORDER, AND PROTECTIVE
ORDER**

On April 12, 2022, the Commission issued a Notice of Filing of Complaint and Assignment (“Notice”) for this proceeding requiring an initial decision by April 12, 2023. After a series of motions and orders that have spanned ten months, this proceeding has not progressed beyond exchanging initial disclosures.

On January 20, 2023, the parties filed a Consent Motion for Entry of Protective Order (“Consent Motion”). Also on January 20, 2023, the parties filed a Joint Status Report (“JSR”) proposing dates for jurisdictional discovery, further motions, and potential discovery on the merits if the proceeding is bifurcated, or a combined discovery schedule if the proceeding is not bifurcated. On January 23, 2023, Respondents filed a Motion to Bifurcate Proceeding to Address Threshold Jurisdictional Challenge (“Motion to Bifurcate”). On January 30, 2023, Complainant filed an Opposition to Respondents’ Motion to Bifurcate Proceeding (“Opposition”).

A. Consent Motion for Protective Order

Turning first to the Consent Motion, the parties have stipulated to a procedure to designate documents and information confidential as set forth in the proposed protective order attached to their motion. The initial order in this proceeding states that: “The parties may agree and stipulate between themselves regarding treatment of confidential documents and information obtained during discovery that is not filed with the Commission. The parties may, but are not required to, file a courtesy copy of the agreement with the Commission.” Initial Order at 4.

The Protective Order proposed by the parties is reasonable however, the parties should note that the proposed paragraph 7.c. is not consistent with the Federal Maritime Commission’s

Rule 502.71(b), which requires responses to non-dispositive motions within 7 days of filing of the motion. Accordingly, paragraph 7.c. is revised to require a response to a motion challenging designation of confidentiality within 7 days of receipt of the motion.

The parties have established good cause to enter the protective order. Accordingly, the joint motion is **GRANTED**, and it is hereby **ORDERED** that the protective order shall be entered as an order in this proceeding as revised by the above.

B. Motion to Bifurcate

Respondents move to bifurcate this matter into a jurisdictional adjudication, followed by a proceeding on the merits if personal jurisdiction is established “over at least one Respondent....” Motion to Bifurcate at 1-3. Respondents rely in part on the FMC General Counsel’s opinion letter issued on August 6, 2019 (“OGC Letter”),¹ to assert that jurisdiction should be separately considered. *Id.*; May 9, 2022, Motion to Dismiss, Attachment A. They note: “It was our understanding that the content of the opinion letter was based on direction provided by the Commission, although the letter’s text indicated it was nonbinding on the Commission.” Motion to Bifurcate at 3. Respondents also rely on various cases that address jurisdiction as a threshold issue to support their argument that this proceeding should be bifurcated. None of the Federal Maritime Commission (“FMC”) cases cited by Respondent were bifurcated by order; rather, they are cases that discuss jurisdiction as a threshold issue. In one FMC case cited by Respondent, *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751 (1999), the administrative law judge ordered discovery on jurisdictional issues, namely, whether respondent functioned at the ports in issue as a marine terminal operator (“MTO”), but the proceeding was not formally bifurcated.

Complainant opposes bifurcating the jurisdictional issue, asserting that it is a departure from FMC practice, Respondent has not articulated any prejudice warranting such “relief,” and Complainant would be prejudiced by bifurcation because it would be required to duplicate discovery. Opposition at 1. Complainant remarks in a footnote that the OGC Letter relied on by Respondent states that it is not binding on the Commission.

Complainant noted in its opposition that the issue of jurisdiction has been raised by Respondents more than once since this case was filed on April 12, 2022. *See* Motion to Dismiss, filed May 9, 2022; Partial Motion to Dismiss and Motion to Strike, filed July 8, 2022. Both motions were filed prior to discovery. On June 23, 2022, an Order on Motion to Amend Complaint and Motion to Dismiss (“Order on Motion to Amend”) granted Complainant permission to file an amended complaint and denied Respondents’ motion to dismiss the original complaint as moot. While finding the motion to dismiss moot, Chief Administrative Law Judge Erin Wirth provided some guidance on issues raised by Respondents’ Motion to Dismiss, noting that the OGC Letter is not binding on this proceeding, and the amended complaint alleges a sufficient basis for the Commission to assert jurisdiction by alleging that Respondents operate both jointly and separately as MTOs at terminals in the Port of Savannah and the Port of Charleston. Amended Complaint at ¶¶ 11 and 12. Judge Wirth continued: “Whether there is

¹ The letter notes in the first paragraph that: “This opinion is that of OGC alone and is nonbinding on the Commission.” May 9, 2022, Motion to Dismiss, Attachment A.

merit to Complainant's allegation that Respondents are marine terminal operators is a determination that may become clearer after evidence is obtained from discovery." Order on Motion to Amend at 4.

In the Partial Motion to Dismiss and Motion to Strike, Respondents moved the presiding officer to dismiss three counts of the amended complaint for failure to state a claim for which relief can be granted and also moved to strike Complainant's request for reparations. While Respondents did not seek to dismiss the amended complaint on personal jurisdictional grounds in the partial motion to dismiss, they again raised the OGC Letter and their withdrawal of their agreement from the Commission following receipt of the letter. The undersigned Administrative Law Judge denied the partial motion to dismiss and noted that whether there is merit to Complainant's allegations would become clearer after evidence is obtained through discovery. Partial Motion to Dismiss and Motion to Strike at 4 to 5.

"It is elementary law that a tribunal should determine its jurisdiction before proceeding to the merits of a controversy." *NPR, Inc. v. Board of Comm'rs of the Port of New Orleans*, Docket No. 98-23, 28 S.R.R. 1178 (ALJ Nov. 23, 1999); *see also River Parishes Co. v. Ormet Primary Aluminum Corp.*, Docket No. 96-06, 28 S.R.R. 751, 762 (FMC Feb. 3, 1999) ("As the ALJ correctly held, an agency must reach jurisdictional issues before addressing the merits of a case." (citations omitted)).

Indeed, it is well understood that "[t]he general rule is that an adjudicatory body must first find that it has jurisdiction over the parties and the subject matter of the cases before it reaches the merits." *Government of Guam v. Sea-land Service, Inc.*, 28 S.R.R. 252, 265 (1998). "This rule merely means that before or contemporaneous with the issuance of an Initial Decision on the merits, the presiding officer must determine that the Commission has jurisdiction over the matter." *R.O. White & Company v. Port of Miami Terminal Operating Co.*, Docket No. 06-11, 2007 FMC Lexis 31 at *27, (ALJ October 29, 2007) (Memorandum and Order on P&O Ports North America Motion for Reconsideration and Joint Motion of the Parties for Leave to Appeal Order of the ALJ). In other words, the rule does not require that jurisdiction and the merits be separately adjudicated, only that jurisdiction must be found prior to proceeding to discussion of the merits. In this case, it will be more efficiently accomplished by addressing jurisdiction after a limited discovery and briefing on the issue prior to additional discovery and briefing on the merits.

I am mindful that Complainant has the burden to prove that the Commission has jurisdiction, and as noted by Judge Wirth and the undersigned, such a determination would be clearer after discovery. Consequently, Complainant should be allowed discovery on that issue, and a scheduling order that allows for limited discovery on the jurisdictional issue, followed by briefing on that issue alone, will be helpful in determining whether the Commission has jurisdiction based on facts, rather than assertions alone.

Contrary to Respondent's contention that the OGC Letter establishes that "it is beyond dispute that it was the position of the agency as a whole in 2019 that [the Commission] lacked jurisdiction over Respondents and their agreements at the time," the letter clearly says it was the position of the General Counsel. Motion to Bifurcate at 3-4. Between the date of the letter and the date the instant case was initiated, there have been no jurisdictional issues litigated before a

presiding officer or the Commission regarding whether these Respondents at the terminals at these two ports are MTOs.² While the OGC Letter is of interest in this matter, it is not binding on this proceeding, as Judge Wirth previously noted, and evidence regarding how the terminals actually operate is more probative of the issue than how they were represented to operate in whatever documents were presented in 2019. Affidavits or declarations from individuals who work(ed) at the terminals at the two ports during the relevant times, along with documents that show how the terminals operate, would be more instructive in determining whether any of Respondents are MTOs subject to the jurisdiction of the FMC.

I do not agree that Complainant would be prejudiced to proceed in the manner ordered by the schedule below. Discovery limited to how the subject terminals operate at the two ports in question and whether any of the Respondents are MTOs should be far less burdensome to both parties and should not be intertwined with the merits of the alleged Shipping Act violations. As a threshold issue that must be considered before reaching the merits, it cannot be prejudicial to the party alleging that jurisdiction exists to ask them to prove it before moving on to the merits. If this jurisdictional-focused discovery demonstrates that jurisdiction is intertwined with the merits, then it would be proper, and necessary, to move to discovery on the merits. Similarly, even if only one of the named Respondents is demonstrated by the jurisdictional discovery to be an MTO, the case will proceed to discovery on the merits and the parties will be given an opportunity to submit briefs limited to the Shipping Act violations alleged to have occurred. Given the complexities of the allegations, separating the focus of the discovery would be more efficient.

Complainant asserts that Respondents fail to show why jurisdiction should be separately considered from the merits under Federal Rules of Civil Procedure 42(b). Federal Rule 42(b) states in pertinent part: “[f]or convenience, to avoid prejudice, or to expedite and economize, the court may order a separate trial of one or more separate issues, claims, crossclaims, counterclaims, or third-party claims.” While only one of these factors need be found to warrant bifurcating issues, here, convenience, along with expediting and economizing, are equally well served by requiring the parties to engage in limited discovery followed by briefing on the issue of jurisdiction before proceeding to the more expansive discovery likely to occur regarding the merits. “Such bifurcation falls well within the court’s discretion, *see* Fed.R.Civ.P. 42(b), because ‘litigation of the first issue might eliminate the need to litigate the second issue,’ *Amato v. City of Saratoga Springs*, N.Y. 170 F.3d 311, 316 (2d Cir. 1999).” *Bonilla v. Jaronecnyk*, 354 Fed. Appx. 579, 581-582, 2009 U.S. App. LEXIS 26167, *2 (2d Cir. 2009).

Accordingly, under FMC Rule 141(1) and (2)(ii)(c), discovery will be limited at this stage to jurisdictional inquiries only, as more detailed in the scheduling order below, and only for the three-year period prior to the filing of the complaint for which reparations can be sought (as Complainant asserts it is seeking). In addition, the scheduling order below requires the parties to submit briefs on the limited issue of jurisdiction, so no further motions will be permitted, further expediting the procedure. If jurisdiction is established by the evidence elicited through the

² As noted by Respondent, the determination of whether Respondents are MTOs is facility-specific, and only discovery related to the Ports of Savannah and Charleston need be requested or provided, further helping to narrow the scope of discovery. *Auction Block Co. v. City of Homer* 33 S.R.R. 589, 592-593 (FMC 2014), *aff’d sub nom Auction Block Co. v. Federal Maritime Commission*, 606 Fed. Appx. 347, 348 (9th Cir. 2015).

discovery and briefing ordered below, the parties will be required to submit a joint status report with a proposed amended scheduling order to proceed with discovery on the merits.

Upon consideration of Respondent's motion to bifurcate the issue of jurisdiction from the merits of the case, it is hereby **ORDERED** that Respondents' motion be **GRANTED** consistent with the scheduling order below.

C. Scheduling Order

This proceeding has been significantly delayed by multiple motions and requests for extensions of time, as well as by some circumstances beyond the control of the parties. Discovery should typically be completed 150 days following the filing of the answer as set forth in Rule 141, resulting in a deadline of April 17, 2023, which more than one year after the case was initiated. The parties do not offer to meet the April 17, 2023, deadline in either schedule they propose. Initial Order at 1; JSR at 2. The schedules proposed in both instances are unreasonable and are not adopted in the scheduling order below.

Considering jurisdiction as a threshold matter should result in narrow discovery issues that can be addressed more expeditiously than the five months that Respondents propose, which includes a lengthy period post-discovery to engage in yet more motion practice. Additional motions are unnecessary and are not accommodated in the schedule below. *Id.* Such a schedule as that proposed by Respondents defeats the purpose of dividing discovery into two phases, one regarding jurisdiction, and the second, focused on the merits. In addition, dispositive motions after discovery are disfavored as it is more efficient to move to a hearing on the jurisdictional issues. Therefore, a briefing schedule for the jurisdictional issue has been included to assist the parties with scheduling and rendering a dispositive motion unnecessary as the briefs are required to include the jurisdictional arguments and facts in support, as well as the evidence on which each party relies.

With the shortened timeframe ordered below to consider the jurisdictional issue as a threshold matter, and to eliminate potentially repetitive depositions, interrogatories, requests for admission, or production of documents, discovery will be limited. *See*, 46 C.F.R. § 502.141(e)(1). The parties are encouraged to submit witness affidavits or declarations that describe the terminal operations at the Port of Charleston and the Port of Savannah during the period at issue, which is April 12, 2019 (three years prior to the filing of the original complaint),³ to the present, along with any documents currently in the parties' possession (whether already provided pursuant to initial requests or otherwise in their possession), or obtained through production of documents, that support the argument that Respondents are, or are not, MTOs as defined in 46 C.F.R. § 525.1(c)(13).

Respondents state in the Motion to Bifurcate that they have prepared the underlying records that were submitted to the FMC General Counsel to produce to Complainant. To the extent that they have not yet done so, they should produce them no later than the date indicated

³ "If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an actual injury to the complainant caused by the violation." 46 U.S.C. § 41301(a).

below. Similarly, Respondents should produce any updated versions of those documents to Complainant by the date indicated in the scheduling order below.

The parties are hereby **ORDERED** to follow this schedule:

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|-----------------------|---|
| March 29, 2023 | Respondents provide the records submitted to the Commission in 2019 and any updated versions of those records, including but not limited to all contracts, agreements, or leases between Respondents and Georgia Ports Authority and South Carolina Ports Authority regarding the operation of the terminals at the Ports of Savannah and Charleston from 2019 to present, including amendments. Parties respond to existing discovery requests regarding jurisdictional issues only, including records showing how the terminals operate at the two ports, and each party's function, including what role, if any the Respondents play in "providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier...." No Depositions will be scheduled at this time. |
| April 19, 2023 | Complainant's brief relating to jurisdiction; any remaining discovery issues relating to jurisdiction should be identified in the brief (what was requested, why it is relevant, and what it might show). |
| May 10, 2023 | Respondent's opposition brief relating to jurisdiction; any remaining discovery issues relating to jurisdiction should be identified in the brief (what was requested, why it is relevant, and what it might show). |
| May 24, 2023 | Complainant's reply brief and responses to proposed findings of fact relating to jurisdiction. |

No discovery motions will be permitted on the jurisdictional issue and any objections to discovery issues should be addressed in the parties' briefs. Briefs should include proposed findings of fact as well as legal analysis supporting the parties' position on jurisdiction. The parties should attach evidence supporting their arguments in an appendix, following the guidelines below. Any filing submitted without page numbers, including on exhibits, may be rejected.

[Party's] Appendix. The evidence on which a party's proposed findings of fact or response to another party's proposed findings of fact is based shall be included in an appendix.

- a. The cover of the appendix shall identify the party or parties that prepared the appendix;
- b. The appendix should be in one PDF document, if practicable. The pages of the appendix shall be numbered sequentially, for example CX 1, CX 2 or RX 1, RX 2, etc.;

- c. The appendix must begin with a table of contents identifying the page at which each individual document begins and each exhibit should be clearly identified, for example, by a cover sheet or bookmark;
- d. Each party shall ensure that all documents in its appendix are legible and in English or include a verified translation as required by Rule 7 (*see* 502 C.F.R. § 502.7); and
- e. The parties are instructed to cite to a document in an appendix already in the record rather than include the same document in its own appendix. For instance, if Respondent contends that a document included in Complainants' appendix rebuts the evidence Complainant claims supports a proposed finding of fact, Respondent shall cite to Complainants' appendix rather than include a second copy of the same document in its own appendix.
- f. If confidential information is filed, it must be accompanied by a motion justifying confidential treatment. This motion must identify each item for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information. 46 C.F.R. § 502.141(j)(1). The burden is on the party seeking to protect the information to show good cause for its protection. Parties must follow the rules for confidential filings in 46 C.F.R. § 502.5 and the Initial Order issued in this proceeding.



Linda S. Harris Crovella
Administrative Law Judge